# Chapter 3: In-Class Questions

### EC306 Wages and Employment, Fall 2026

These questions cover Chapter 3, *Labour Supply*. They are written in the style of the short-answer section of the midterm, where each part is worth 5 marks. We work through the answers in class, so solutions are not posted.

## Question 1

Amira has $4,000 a year of nonlabour income and 4,000 hours a year to divide between work and leisure. At a wage of $20 an hour she works 1,800 hours. Her wage rises to $25 an hour, and she now works 1,890 hours. If her income at the $25 wage had been just enough to keep her on her original indifference curve, she would have worked 1,980 hours.

a) Draw an income–leisure diagram showing Amira's choices before and after the raise. Use it to calculate the substitution effect and the income effect of the raise, in hours of work.

b) Calculate Amira's uncompensated and compensated elasticities of labour supply. Explain why the compensated elasticity is larger, and compare your answers with the estimates for married women discussed in class.

## Question 2

For each of the following, state whether it is true, false, or uncertain, and provide an explanation (all marks come from the explanation).

a) A taxi driver who works each day until she has earned $250 and then goes home does not fit the labour supply model, because her choices involve no income or substitution effects.

b) If leisure is a normal good, an increase in nonlabour income can reduce someone's hours of work, but it cannot cause them to leave the labour force.